THE EQUITY EXPRESSION OF THE AI CAPEX THESIS

The Week Capex Split Into Two Stories

Nine days in late July did something the AI trade had not managed in three years: it made the market read the same number two different ways. Alphabet raised its 2026 capital spending plan and lost roughly 7% of its value. Microsoft raised its plan by far more and gained 16% — the largest single-day dollar gain in stock market history, about $450bn. Meta raised its plan and fell 8%. Amazon raised its plan and its cloud division posted its fastest growth in four and a half years.

Nothing about the spending changed. What changed is that investors stopped counting the cranes and started asking what the buildings are renting for.

METHOD NOTE — This guide pairs the Heyokha Investment Wiki's standing AI Capex thesis (last reviewed 28 July 2026) with public data verified as of the close on 30 July 2026. Internal Wiki views are labelled as views. External figures carry an outlet and an as-of date. Company names are illustrative of how the theme is expressed in listed markets; they are not recommendations.

Reframing the theme

"AI capex" is usually discussed as a question about technology. It is more useful to treat it as a question about *underwriting*. Roughly $700bn a year is being committed to assets with a six-year accounting life, a three-year payback at best, and a customer list that is dangerously short. Whether that is a boom or a bubble depends less on how good the models get than on who holds the paper when the depreciation arrives.

Imagine two hotel developers on the same stretch of coast. Both break ground on 400 rooms, both borrow heavily, both tell you the tourists are coming. At the end of the first season one hands you a booking ledger showing occupancy up 37% and a waiting list. The other hands you a construction invoice. The buildings are identical; the investments are not remotely the same thing — and for three years the market priced them as though they were.

THE STORY IN 60 SECONDS

$255–260bn

Microsoft's capital spending guidance for fiscal 2027 — against roughly $175bn on an adjusted calendar-2026 basis. The largest single corporate spending plan ever disclosed. *Company guidance, 29 Jul 2026.*

+37%

AWS revenue growth in Q2 2026, to $42.2bn — its fastest rate in 18 quarters, against consensus near 31%. This is the number that flipped the mood. *Amazon results, 30 Jul 2026.*

–$5.9bn

Alphabet's free cash flow in Q2 2026 — negative for the first time since its 2004 listing, as capex doubled to $44.9bn and outran $39.1bn of operating cash flow. *Alphabet results, 22 Jul 2026.*

PART ONE

What actually happened

The sequence matters, because the market's mood reversed twice inside a fortnight.

On 22 July, Alphabet reported a quarter that was, by any conventional measure, excellent: revenue up 24% year on year to $119.8bn, a 34% operating margin. It also lifted its 2026 capital expenditure range to $195–205bn from $180–190bn, and reported the first negative free cash flow quarter in its history as a public company. The stock fell about 7% the following session. The read-across was immediate and brutal: if the most profitable advertising machine ever built can spend itself into negative cash flow, the capex cycle has stopped being free.

On 28 July the Dow fell over 1,100 points — its worst day since April 2025 — on concern the Federal Reserve was falling behind on inflation. On 29 July the Fed held the federal funds rate at 3.50–3.75% for a fifth consecutive meeting, on a 9–3 vote, with three regional presidents dissenting as inflation stayed above target. The S&P 500 fell 1.5% to 7,316.15; the Nasdaq Composite fell 1.7% to 24,442.94. Meta reported the same evening: revenue of $60.8bn beat, but earnings per share of $6.18 badly missed a $7.14 consensus and full-year capex guidance moved up to $135–145bn. The shares fell close to 8% after hours.

Then Microsoft reported. Revenue of $90.01bn, up almost 18% and roughly 2.7% ahead of consensus. Adjusted earnings per share of $4.74, nearly 12% ahead. Azure grew approximately 43% in constant currency against a Street estimate closer to 40%, with guidance for around 45% next quarter. And capital spending guidance for fiscal 2027 of $255–260bn — a number materially larger than anything Alphabet or Meta had just been punished for. The stock rose 16% on 30 July, adding roughly $450bn of market value in a session.

The rest followed. Semiconductors ripped: the iShares Semiconductor ETF gained more than 8%, its information technology sector counterpart adding close to 5% for its biggest one-day move since mid-2025. Micron rose 18%, SanDisk 26%, AMD more than 13%, Lam Research 17% — helped by a Samsung warning that the memory shortage could persist into 2028, with all three HBM producers reportedly sold out of 2026 capacity. The S&P 500 closed 30 July near 7,416. After the bell, Amazon delivered AWS at $42.2bn and +37%, a $169bn annualised run rate, total net sales of $200.6bn, and a capital spending figure Andy Jassy put at roughly $220bn for the year.

THE ESSENTIAL DISTINCTION

The market did not stop worrying about AI capex this week. It started discriminating. Capex accompanied by visible, accelerating revenue was rewarded. Capex accompanied by a promise was not. That is a more mature market — and a more dangerous one, because it means the tolerance for a single disappointing print has collapsed.

PART TWO

Why the number is so hard to judge

Capital expenditure is the most awkward line in a financial statement, because it sits at the exact point where accounting and reality diverge. Cash leaves today. The asset is expensed over years. The revenue it supports may arrive later, elsewhere, or never. Three things happen in sequence, and the market is forced to price all three at once.

1. Cash leaves

Money is committed to GPUs, buildings, memory and grid connections. It hits cash flow immediately but the income statement barely notices — depreciation lags the spend by years.

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2. Capacity arrives

Twelve to thirty-six months later, the racks come online. Now the asset must be filled. Utilisation, not construction, becomes the variable that determines the return.

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3. Revenue proves it — or doesn't

Tokens get sold. If demand shows up at an acceptable price, the spend was investment. If it doesn't, the same spend was overcapacity, and the depreciation arrives regardless.

The Heyokha Wiki's entry draws attention to a mechanical consequence of this lag which is easy to miss and which Chris Wood of *Greed & Fear* has pressed hard: in the first quarter of 2026, hyperscaler capex was roughly $130bn while depreciation was only about $41.6bn. In other words, the buildout has so far been *earnings-accretive* for the sector as a whole. Suppliers book profit on the sale immediately; buyers spread the cost over six years or more. Microsoft's decision to extend the useful life of data centre and office buildings from 15 years to 25 starting in fiscal 2027 pushes that recognition further out still. This is entirely legal, arguably defensible, and it means reported earnings currently flatter the economics of the cycle. The gap closes eventually. It always does.

~$410bn	~$695bn	~$870bn
2025 — the four largest hyperscalers' combined capital spending	2026E — consensus, roughly a 70% increase in a single year	2027E — consensus, before this week's guidance revisions

2026E and 2027E consensus figures per the Heyokha Wiki (Bloomberg, company data, cited in Greed & Fear, 23 Jul 2026); 2025 base per press reporting. Microsoft's fiscal-2027 guidance of $255–260bn, Amazon's ~$220bn and Meta's $135–145bn all landed after these estimates were struck — the 2027 number is, if anything, low.

Set against that, here is what each of the four is actually guiding to for calendar 2026. The dispersion is small. The market's reaction to it was not.

Company guidance as reported, 22–30 July 2026. Microsoft's figure reflects its restated accounting treatment; its fiscal-2027 guidance is $255–260bn. Not strictly comparable across differing fiscal years and lease-treatment conventions — directional only.

PART THREE

What changed, what it looks like, why it cuts both ways

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE NUMBERS	WHY IT CUTS BOTH WAYS
Cloud growth re-accelerated	Azure ~+43% constant currency, guided ~45%. AWS +37%, fastest in 18 quarters, vs ~31% expected.	**Bull:** demand is real and capacity-constrained, not speculative. **Bear:** a meaningful share of hyperscaler backlog is owed by two loss-making AI labs, so "demand" and "vendor financing" are harder to separate than the growth rate suggests.
Free cash flow has turned	Alphabet at –$5.9bn in Q2 2026, capex $44.9bn vs $39.1bn operating cash flow.	**Bull:** spending into a shortage is what you would want a company to do. **Bear:** the equity case for Big Tech was built on cash generation. Removing the cash removes the reason for the multiple.
Depreciation schedules are lengthening	Microsoft moving buildings from a 15-year to a 25-year life from FY2027; more leases treated as operating rather than finance.	**Bull:** long-lived shells genuinely do outlast the servers inside them. **Bear:** it lowers reported cost without lowering real cost, and it makes cross-period comparison harder for exactly the line investors are watching most closely.
Memory became the bottleneck	Micron +18%, SanDisk +26% on 30 July; HBM capacity reportedly sold out for 2026; Samsung flagging tightness into 2028.	**Bull:** a genuine physical constraint with pricing power attached, and the clearest cash-generative link to the theme. **Bear:** memory is historically the most violently cyclical business in technology. Sold out is a peak-cycle phrase.
Financing has moved off balance sheet	Per the Wiki, citing Nikkei Asia (21 Jul 2026), off-balance-sheet commitments of roughly $1.65tn against about $1.35tn on balance sheet; hyperscalers issued ~$194bn of investment-grade debt year to date.	**Bull:** investment-grade issuers with real cash flows can carry leverage cheaply. **Bear:** credit spreads for Amazon, Alphabet and Meta have widened since early July; Oracle was cut to BBB– on 9 July. The market is already charging more for this.

A USEFUL MENTAL MODEL

Think of it as a landlord problem, not a technology problem. The buildings will get built and they will probably be useful. The open question is who signed the lease, how long it runs, and whether that tenant will still be solvent when the rent is due.

PART FOUR

The two cases, stated fairly

Both sides of this argument are held by serious people with detailed evidence, and — importantly — at least one of them changed his mind this month. Wiki-sourced views are attributed and should be read as views, not verified forecasts.

The constructive case

- **The inference economics may now work.** Ignacio de Gregorio of *White Box* reversed his own scepticism on 28 July 2026, arguing that memory-centric hardware — NVIDIA's Vera Rubin at 22 TB/s of memory bandwidth, roughly three times Blackwell's 8 TB/s — makes inference demonstrably profitable. His arithmetic: at 65% utilisation and $1 per million tokens, roughly a three-year payback against a six-year depreciation schedule. His framing is that the market is now too pessimistic on margins and too optimistic on demand. *(Wiki / White Box view.)*
- **Demand is showing up in reported revenue, not just backlog.** Azure at ~43% and AWS at +37% are audited numbers from the two largest cloud providers, both accelerating, both against lower expectations. That is not a promise.
- **The bottleneck is physical, which is investable.** 13D Research has argued since 2015 that AI-driven demand for power, semiconductors and materials is independent of tech-stock sentiment. Data centre electricity consumption is projected to rise from 1.0–1.5% of global generation to around 4.5% by 2030 — a call on turbines, transformers and uranium as much as on software. *(Wiki / 13D view.)*
- **Nobody can credibly stop.** The prisoner's-dilemma structure that bears cite as evidence of irrationality also underwrites the revenue visibility of everyone selling into it.

The sceptical case

- **The customer list is two names long.** Hyperscaler remaining performance obligations reached about $2.1tn at end-Q1 2026, up 184% over four quarters, and roughly half is owed by OpenAI and Anthropic. Chris Wood characterises these as concentrated unsecured loans to two cash-burning labs. De Gregorio — the bull on margins — calls this the unresolved risk. *(Wiki / Greed & Fear and White Box views.)*
- **The revenue required is not plausible on current trends.** On the Wiki's reading of JPMorgan work, meeting committed spend would need $300–400bn of annual revenue from the labs against roughly $47bn today. *(Wiki view.)*
- **Earnings quality is deteriorating.** "Other non-operating income" accounted for about $71.5bn of a $106.6bn year-on-year increase in hyperscaler earnings — two-thirds of the gain. Wood likens this to Japanese *zaitech* in the late 1980s. *(Wiki / Greed & Fear view.)*
- **Today's demand may be partly manufactured.** Michael Burry's "tokenmaxxing" thesis holds that mandated internal AI usage at large employers is harvesting training data rather than expressing durable demand, and that it compresses once firms move in-house. *(Wiki-cited view; Burry is short the semiconductor index.)*
- **The historical base rate is unkind.** Amazon fell 95% between December 1999 and October 2001. Cisco fell 90%. The technology thesis was right. The equities were not.

PART FIVE

What to watch from here

SIGNAL	HOW TO READ IT IN PLAIN ENGLISH	WHY IT MATTERS
Cloud growth rate, next quarter	Azure guided to ~45% constant currency. If it lands there, capacity is genuinely constrained. If it slips to the high thirties, the "shortage" narrative loses its anchor.	This is now the single number holding up the sector's multiple. It has replaced the capex figure as the thing that moves the price.
Investment-grade credit spreads on the spenders	Amazon, Alphabet and Meta 10-year spreads all widened between early and late July per the Wiki's Bloomberg data. Continued widening means the bond market is pricing risk the equity market is not.	Credit usually moves first. In 2000 it did.
Depreciation versus capex	Q1 2026: about $130bn of capex against $41.6bn of depreciation. Watch the ratio narrow.	As it narrows, the earnings tailwind from the buildout reverses into a headwind — mechanically, with no change in demand required.
RPO composition, not just size	Backlog growth is bullish only if the counterparties diversify. Growth concentrated in the same two labs is leverage, not demand.	Both the leading bull and the leading bear on the Wiki agree this is the real risk. That is unusual and worth respecting.
Memory pricing and HBM lead times	Sold-out capacity into 2028 is a strong signal. The first sign of lead times shortening is the classic cycle top.	Memory has been the highest-beta expression of the theme in 2026. It will also be the fastest to turn.
Enterprise AI budgets	The Wiki cites Uber capping per-user AI spend at $1,500 after exhausting an annual budget in under four months, and Ramp data showing token spend up 13x since January 2025 with only 21% of customers reporting measurable results. *(Wiki / White Box view.)*	If enterprises get frugal rather than enthusiastic, the demand curve flattens well before the capacity does.
Architectural disruption	Qualcomm's claimed hybrid-bonded memory design at 133 TB/s — roughly six times Vera Rubin — would bypass HBM and advanced packaging bottlenecks entirely. *(Wiki-cited company claim, unverified independently.)*	The current bull case on margins rests on one architecture. Alternatives to it are a threat to memory pricing power, not to AI.

PART SIX

How to think about the menu

The spenders

Hyperscalers. You are buying incumbency and distribution, and accepting negative or near-zero free cash flow while the buildout runs. This week showed the market will pay up for spend that comes with an accelerating revenue line, and mark down spend that doesn't. The screen has become a quality screen.

The suppliers

Chips, memory, networking, power equipment, construction. Cash today, from committed orders. Historically the better risk-adjusted way to own an infrastructure boom — and the way most cyclically exposed when orders stop. Wood's stated preference is "picks and shovels" over the spenders, on the Wiki's account.

The insurance

Wood recommends accumulating gold and gold miners ahead of what he expects to be a dislocation. Gold traded around $4,081/oz on 30 July, after the Fed held. *(Recommendation is a Wiki-sourced view.)* Sources disagree on prior peak levels, so those are omitted here.

STOCK-CARD GUIDE — six representative expressions of the theme. Illustrative of the mechanism only. NOT recommendations. No target prices, no ratings.

MSFT

Microsoft

Reported
29 Jul 2026

The clearest example of capex being rewarded. Revenue $90.01bn (+~18%), adjusted EPS $4.74, Azure ~+43% constant currency, and the largest spending plan ever disclosed at $255–260bn for FY2027. Shares +16%, roughly $450bn added. The Wiki notes Wood removed it from his global portfolio in October 2024 over Copilot bundling — a scepticism this print directly challenges.

WATCH NEXT

> Whether Azure delivers the guided ~45%, and how the extended 25-year building life affects reported margins from FY2027.

AMZN

Amazon

Reported
30 Jul 2026

AWS at $42.2bn and +37% year on year was the fastest growth in 18 quarters against roughly 31% expected — a $169bn annualised run rate. Group net sales $200.6bn, +20%. Capital spending guided to roughly $220bn for the year, the largest of the four. Vindicates the spend, and also concentrates the risk.

WATCH NEXT

> Whether AWS acceleration continues into a sixth quarter, and the disclosed composition of its backlog by counterparty.

GOOGL

Alphabet

Reported
22 Jul 2026

The catalyst for the repricing. Revenue +24% to $119.8bn at a 34% operating margin — and the first negative free cash flow quarter since the 2004 IPO, at –$5.9bn, with capex doubling to $44.9bn. 2026 guidance lifted to $195–205bn. Shares –7%. The Wiki cites JPMorgan work suggesting a large share of reported income comes from investment mark-ups on AI-lab stakes rather than operations. *(Wiki view.)*

WATCH NEXT

> Whether free cash flow recovers in Q3, and how much of income is operating versus investment marks.

META

Meta Platforms

Reported
29 Jul 2026

The counter-example. Revenue $60.8bn beat, but EPS of $6.18 missed a $7.14 consensus and capex guidance rose to $135–145bn. Shares –8% after hours on the same evening Microsoft rose 16%. Two companies, both raising spend, opposite outcomes — the cleanest illustration that the market is now pricing the revenue line, not the spending line.

WATCH NEXT

> Evidence that AI is monetising through advertising rather than only appearing in the cost base.

MU

Micron Technology

+18%
30 Jul 2026

The bottleneck trade. Rose 18% as Samsung warned the memory crunch could run into 2028 and with all three HBM producers reportedly sold out for 2026. Memory is where AI demand meets a genuine physical constraint, and it is the part of the chain generating cash now rather than promising it later.

WATCH NEXT

> HBM lead times and contract pricing. Also Qualcomm's hybrid-bonded memory claim, which would bypass HBM entirely if it ships.

ORCL

Oracle

Cut to BBB–
9 Jul 2026

The credit canary. Downgraded to BBB– — one notch above high yield — with its 10-year spread widening from 176bp to 219bp per the Wiki's Bloomberg data. Oracle took on the most balance-sheet risk relative to its size to compete in AI infrastructure, and is therefore the first place the financing strain becomes visible in a rating rather than a narrative.

WATCH NEXT

> Any further rating action, and whether spreads at the other four begin to converge toward Oracle's.

The bottom line

The most important thing that happened in markets this month is not that AI capex went up again. It is that the market began pricing two kinds of capex differently for the first time. Alphabet and Meta raised spending and were marked down. Microsoft and Amazon raised spending by more and were marked up, because both could point to an accelerating revenue line underneath it. On the evidence of one week, investors have moved from asking "is AI real?" to asking "show me the occupancy rate."

That is progress, and it is also fragile. Discrimination requires a signal, and the signal currently being used — cloud revenue growth — is partly funded by the very customers whose solvency is the open question. Roughly half of a $2.1tn backlog is owed by two companies that lose money. On the Wiki's account, the leading bull on AI margins and the leading bear on AI credit now agree on precisely this point, having arrived from opposite directions. When the optimist and the pessimist converge on the same risk, it deserves more weight than either of their conclusions.

The honest summary: the technology is probably real, the capacity is probably useful, the payback arithmetic has genuinely improved, and none of that tells you whether these equities are correctly priced today. Container shipping remade the world economy and made almost nobody rich. Fibre optics were necessary and destroyed the people who financed them. The AI buildout can be both historically important and a poor investment for a long stretch — and the fact that both propositions can be true at once is the single most useful thing to hold in mind.

Sources and update notes

INTERNAL — HEYOKHA INVESTMENT WIKI. "AI Capex" theme entry, last reviewed 28 July 2026. Thesis, mechanism, bull and bear cases, evidence tables and contradictions drawn from that entry. Underlying Wiki research sources cited within it and referenced above: *Greed & Fear* (Chris Wood) issues of 2 Jan 2025, 9 Jan 2025, 28 Jan 2025, 7 Aug 2025, 14 Aug 2025 and 23 Jul 2026 — the internet-bubble parallel, capex-to-sales ratios, RPO and hidden-debt data, credit spreads, the *zaitech* earnings-quality argument, and the gold recommendation; *White Box* (Ignacio de Gregorio) issues of 29 May, 1 Jun, 4 Jun, 10 Jun, 13 Jun, 15 Jun, 18 Jun, 25 Jun and 28 Jul 2026 — the Vera Rubin inference-economics reversal, the demand-concentration argument, the containerisation analogy, the debt-structure analysis with JPMorgan's Michael Cembalest, the Uber and Ramp enterprise-spending evidence, and the Qualcomm HBC claim; *13D Research* WILTW of 19 Dec 2024 — the general-purpose-technology bull case, the Automation Index, and data centre power projections; and Michael Burry, "The Heretic's Guide to AI's Stars Part III," 23 May 2026 — tokenmaxxing, the bezzle framing, the Jevons rebuttal and the short-SOX position. All of the above are internal views, not verified forecasts. Accessed 31 July 2026.

EXTERNAL — PUBLIC SOURCES.

1. Microsoft fiscal Q4 2026 results — revenue $90.01bn, adjusted EPS $4.74, Azure ~+43% constant currency, FY2027 capex guidance $255–260bn, useful-life extension to 25 years. Company disclosure and press coverage, as of 29 July 2026.
2. Amazon Q2 2026 results — AWS $42.2bn and +37% year on year, fastest in 18 quarters; group net sales $200.6bn (+20%); capital spending ~$220bn for the year per Andy Jassy. CNBC / Yahoo Finance, as of 30 July 2026.
3. Alphabet Q2 2026 results — revenue $119.8bn (+24%), 34% operating margin, free cash flow –$5.9bn, capex $44.9bn against $39.1bn operating cash flow, 2026 guidance raised to $195–205bn, shares –7%. CNBC, as of 22–23 July 2026.
4. Meta Q2 2026 results — revenue $60.8bn, EPS $6.18 versus $7.14 consensus, 2026 capex guidance $135–145bn, shares

approximately –8% after hours. Press coverage, as of 29 July 2026.
5. FOMC decision — federal funds target held at 3.50–3.75% on a 9–3 vote, fifth consecutive hold, with three regional-president dissents. Federal Reserve statement and CNBC, as of 29 July 2026.
6. Index levels — S&P 500 –1.5% to 7,316.15 and Nasdaq Composite –1.7% to 24,442.94 on 29 July 2026; S&P 500 near 7,416 and Nasdaq 100 +3.4% on 30 July 2026; Dow –1,100 points on 28 July 2026. Yahoo Finance, Bloomberg, Trading Economics, CNBC, as of 30 July 2026.
7. Semiconductor rally — iShares Semiconductor ETF +8%+, S&P information technology sector +~5% (largest one-day move since mid-2025), Micron +18%, SanDisk +26%, AMD +13%+, Lam Research +17%; Samsung memory-shortage warning into 2028; HBM capacity reported sold out for 2026. CNBC, TipRanks, as of 30 July 2026.
8. Microsoft single-day market value gain of approximately $450bn on a 16% move. Bloomberg, as of 30 July 2026.
9. Gold — approximately $4,081 per troy ounce. Trading Economics, as of 30 July 2026. Conflicting prior-peak figures across sources were excluded.
10. Oracle downgraded to BBB– on 9 July 2026; 10-year spread 176bp to 219bp. Bloomberg data as cited in the Wiki.

UPDATE NOTES. All external figures were verified against at least one named outlet on 31 July 2026. Where the Wiki and external reporting differed on the same metric, the more recent external figure is used and the Wiki figure noted as the internal estimate. Consensus 2026E and 2027E hyperscaler capex figures pre-date this week's guidance revisions and are therefore likely understated. Microsoft's calendar-2026 and fiscal-2027 capital spending figures are not directly comparable owing to the change in lease and useful-life treatment.

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